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## Pros and Cons of Paperless Money

Money as we all know is an important unit of account and an essential tool for trade. Recently, there has been great speculation on the benefits of going paperless once and for all. Currency has been the fundamental pillar in our monetary system and has given rise to trade and investment. The reason why speculations regarding going paperless is more prominent than ever is due to the fact that we live in a virtual society. Money is often sorted through intermediaries and many trades and investments are made without actually physically seeing any coins or bills exchanged. What are the benefits of completely digitizing currency and what are the costs of abandoning our existing system?

## **Stimulating the Economy and Negative Interest Rates**

One key reason for the removal of physical currency is the incentive that if all money is held in financial institutions then people would be forced to invest their money. Currently, people are simply able to withdraw any amount of money they possess and take it out of circulation by keeping it in their homes. The purpose of financial institutions is to bring people who have money but no time to create businesses and connect them with people with spare time and capabilities to create businesses but lack liquid capital. By withdrawing the money it is removed from circulation and a central function of banks is rendered useless. It has been proven that people would rather hold cash in their closet than place it in assets such as bank CDs and treasury bills offering 3-5% interest. [1] Harboring money keeps it from being utilized for investments and has some effect in impeding the economic expansion.

Due to slow growth of the Canadian economy many are looking at alternative ways to stimulate expansion. In recent years there has been some success in European countries with negative interest rates. In Switzerland there exists 30 year bonds that offer negative interest rates directly contending the Swiss franc with the euro system in place. It is highly difficult to push interest rates into negative areas as vast amounts of cash are hard to maintain. Moving to a cashless economy could allow central banks more flexibility to push the interest rates as negative as preferred to induce an expansionary monetary policy during a recession or depression. Negative interest rates are difficult to achieve and require much more than simply going paperless but would give governing institutions the help they need in times of financial crisis.

## **Bypassing Hidden Costs**

Another reason for why keeping cash is a burden is the existence of hidden costs. There are many costs associated with possessing physical

money including the cost of maintaining the currency itself. Printing, minting, and redesigning currency are all costly projects funded by the government through tax payer dollars. The Bureau of Engraving and Printing produces 38 million notes a day with a face value of approximately \$541 million USD. Although \$541 million is printed 95% of that amount goes to replacing notes already in circulation. Adopting electronic processes saves the environment because it would make use of virtual currency that do not have a physical denominations. The elimination of cash also forces the discontinuation of paper receipts and reports which are frequently mailed. The cost of sending a receipt or replacing a financial document can waste time and resources. The accessibility of physical currency accounts for a minority of transactions and only 14% of exchange is done with paper in US. [2] Eliminating that 14% can drastically benefit the US economy and allow them to focus on reforming the financial system for the 21st century.

### **Difficult for Illicit Activities**

The elimination of cash would discourage people from illicit activities. It would be difficult for someone to transport a large quantity of money without being detected. Currently, transporting millions of dollars is an easy task. We have seen it in movies where a villain easily carries a briefcase filled with cash to a drop off location. If cash is eliminated then criminals would have difficulty transporting money and completing illicit transactions. If crime money is stored in banks it would leave a clear financial trail which is easily detectable. Eliminating cash also helps with preventing street crime. Thieves would have less initiative to rob people knowing that they would not be carrying cash. A study from Missouri during its mid 1990s transition with welfare benefits suggested that going from a cashable cheque to a debit card allowed the crime rate to drop roughly 10%. [2]

### **Drawback of Eliminating Cash**

With all these positive features of a virtual currency why has it not been implemented? The one benefit of holding cash is anonymity, cash is nameless and offers no history of transactions. It allows people to make purchases that cannot be traced and is an essential freedom to our private lives. Hoarding cash also allows people with massive amounts of wealth to fool tax organizations or even family members. By going digital we are forgoing our right to private transactions. The concern is where the line on personal privacy lies and at what point is it no longer acceptable for a third party to have information on our daily lives. If cash is eliminated this would grant government entities who upkeep their respective currencies unlimited power to manipulate currencies. The existence of cash keeps government power in check and creates a buffer for monetary policy using natural market mechanisms.

Cash is an important part of any economy and serves an essential function in our everyday lives. Having physical currency is important and cannot be ignored when contemplating the future of the global economy. However, it is important to recognize the issues with our monetary system as it is. Money works best in an economy when it is treated as a hot potato, allowing it to circulate instead of it being idle.

## References

[1] <http://www.rcwfinancial.com/cashless-society>

[2] <http://time.com/money/4307717/getting-rid-of-cash/>



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